

LD Micro 500 investor conference

Company Participants

- John Fieldly, President and Chief Executive Officer

Other Participants

- Analyst

Presentation

Analyst

Celsius Holdings Incorporated is a global company with a proprietary, clinically proven formula for its master brand CELSIUS and all its sub-brands. It has five beverage lines that each offer proprietary, functional, health-energy formulas clinically proven to offer significant health benefits to its users. Please join me in welcoming Celsius Holdings.

John Fieldly {BIO 17560616 <GO>}

Good morning, everyone, and hope that everyone's having a great day at LD Micro. We're excited to be back. This is John Fieldly, the CEO of Celsius. We've been coming here over the last several years and appreciate everyone's interest and support. And everyone new to the story, welcome.

Before we begin, I'll encourage everyone and -- like everyone to read our Safe Harbor disclosure included in our financial presentation today. Our mission at Celsius is to be a global leader of a branded portfolio, which is proprietary, clinically proven and/or innovative in the category and offer significant health benefits. We operate in one of the fastest growing categories in food and beverage, the beverage category. And within the beverage category, we operate in the energy category which has been growing -- and not really growing, at over almost 8% growth rate.

In addition, it is anticipated that by 2025, the category will continue to grow at roughly a 7% CAGR to \$84.8 billion globally. The demand is risen by health-minded conscious consumers, changes in food patterns, and additionally more energy being required for consumers as we all live more active lifestyles. There's something happening in the energy category, and it's happening today, you're seeing it in all food and beverage categories actually.

Traditional energy has grown over the years and has really dominated the category, but today things are changing. Functional energy is here and it's the new wave in the energy category. You're starting to see these cues of performance, personal

performance, fitness-oriented. By the way, you consume an energy drink for your personal performance, to achieve your goals, to power you through the afternoon or get ready for your next meeting. What we are seeing in the category is that evolution; health-conscious consumers want products with less sugar, better ingredients, and more functional benefits.

The global functional beverage category is expected to grow to be over \$156 billion category by 2023, at a CAGR growth of almost 11%. These seismic shifts are affecting all categories within food and beverage, and also within the category of energy specifically has traditionally been an 18 to 24 male. We're seeing the category grow and the growth is coming from new consumers coming into the category. You're seeing more females enter. You're seeing the category age-up, and aged, and here also millennials and Gen Z are wanting products that are more aligned with their healthy, active lifestyle and also offer functional benefits and that's what Celsius delivers on.

Also Celsius being borne in vitamin specialty gyms and health clubs, our demographics are roughly around 50/50 male or female, very universal. And because of our healthy ingredients and functional benefits, we actually age-up. So, we're seeing in addition, new consumers coming to the category, wanting products like CELSIUS. We're also seeing consumers that are ageing out of those traditional energy drinks. They might have drunk Red Bull and Monster during college. They had a career. They're working out. They're eating healthier. They're carrying what they put in their body. They're migrating to other functional products, better-for-you products like CELSIUS.

In addition, some of the -- really when you look at it, some investment considerations to think about when you look at Celsius, we have a disruptive, proven, proprietary, functional beverage. We're capitalizing on today's health and wellness trends. We're expanding our portfolio with innovative flavors and expanding its adjacent categories, where we have strong momentum and growth trajectory, we'll get into that. We're expanding within our trade. When I first started and I -- we joined LD Micro almost probably -- I think when the company announced -- since 2012, and I think our first LD Micro was right around 2014. We were mainly only in the gyms, health clubs, Vitamin Shoppe and GNC. Today, we're expanding in trade all across the country, as these seismic shifts takes place, we'll get into some of that. We're significantly building our brand awareness and last year we completed an acquisition to fuel our growth and broaden our reach in Europe, mainly acquiring our European distributor in the Nordics, and we'll get into some details on that.

Over the years, we've continued to reach -- get further interest and more eyes, I'm really honest in regards to the attention from some of the largest industry leaders Bonnie Herzog who is at Goldman Sachs; UBS; B. Riley; and a lot -- Cohen; ROTH Capital; just a lot of different groups, Ladenburg, and as well as many others. So really excited to get more recognition out in the industry about the company. I think that has to go with our proven track record as well. If you go back even further but looking at this chart going back to 2015, all the way up today, I mean, we've continued to drive growth on top line, improved our bottom line and also improved

our gross profits. So, this graph really shows we're driving at about a 45% CAGR. We've had record years. Looks like through our first six months of this year, we achieved over \$58 million in revenue, which is another record for us, so looks like we're much on track to have another record year in 2020 and beyond. So really excited about the momentum that we're seeing.

When you look at the positioning and also what's -- when you look at our numbers which are good -- also what's important to notice is what's happening at retail. Our -- your numbers can be solid for the company, but what's happening at the register? What's happening at retail? We're seeing great rotation at retail. This is an example, performance versus the category, looking at the convenience channel, which is a massive channel in the energy category, drives about, historically about 70% of the volume. So, it's very important -- and that's our biggest opportunity at Celsius.

Carl, I'll get into a slide and next slide, we'll talk about where our distribution is today, but big opportunity going forward is that convenience channel. We've been growing steadily over the years. We have a 46% CAGR, the latest data, we're outpacing the category by 11.6% growth rate with only a 13.8 ACV. So that means that all stores we're -- that were -- that are out there in the universe, we're only in about 13.8 North America today. So long runway ahead of growth and a solid performance. So, you're looking to bring a better-for-you product, a functional product and expand that energy category, to keep up with the energy category growth rates, you got to bring Celsius on. So -- and this data validates that, so really important slide there, just to see what's happening at the register, and that's scan data coming from SPINS as of July 12, 2020.

Looking at our distribution, like I said, we started off in gyms, health clubs, continue to grow there, although it's impacted because of COVID, we feel it's going to come back once we get through COVID, but has been impacted, and impacted us in Q1 and Q2. But we started there, Vitamin Shoppe, GNC as our roots, but we've expanded over the years. 7-Eleven took us on about four years ago, that was really our first main convenience retailer to support us and we've been growing ever since, we now have five flavors authorized. July -- June and July, we ran a BOGO with them when we selected. So that was great, that was our first big promotion with 7-Eleven that took place during the summer.

So really excited with that, we're adding -- we just put a press release out, we expanded into 2,700 speedways that are getting reset over the next several weeks, so really excited about that, and getting more opportunities in convenience as we grow. So, one of the top-selling natural energy drinks, in the natural channel, excluding whole foods, we're not in whole foods, but fresh market and sprouts. Continue to grow in conventional grocery, we're seeing good growth rates in Kroger, Stop & Shop, Safeway, Harris Teeter, Publix, Meyer and many others. So really excited there, also the fitness channel I spoke about.

Vending has been a big growth channel in 2019, but it has been impacted with everyone working at home and remotely, so we feel that's going to come back, but that's another channel we'll be doing well in. And then e-commerce, we're doing

well in Amazon, walmart.com, bodybuilding.com. So, we have a very diverse platform of customers and really lots of opportunity, we structured our teams around these channels in North America to stay focused. And all about optimizing in the trade, trade execution, trade marketing, overlaid with innovative marketing strategies to create that pull. And then also expanding into new distribution, so we feel we're in a good position.

Looking at placements. It's really about multiple placements in the store and because Celsius has those functional benefits we're able to play in multiple aisles within a given outlet. Trying to go to Slide 12 here. Slide 12 is not updating, but it was a -- placement slide was out there. The placement slide that you'll see on the deck is just indicating we play at multiple points of distribution, we play in the better-for-you, sports nutrition set, beverage. We churn at better rates than some of the larger brands in the energy category giving the same placement with -- within coolers from checkouts and so much opportunity with -- for the brand CELSIUS.

Looking at our distribution, we're up to 135 distributors. This time last year we announced our national launch into building a national distribution network, we're far along in that process now, a 135, lot of Anheuser-Busch, independent distributors, Big Geyser in New York, it's been just a massive distributor and great to join them this year, so very excited. They gives us great distribution at over 20,000 locations of an opportunity and good distributor to be in the boroughs, where Polar in Boston, and many other markets. So, some KDP distributors, Molson/MillerCoors as well, but really a good market. We have about 70%, 75% of the major metropolitan markets covered currently and we're working with our key retailers to migrate them off from wholesale or direct to this DSD model and service which is a preferred service, especially for brands like CELSIUS and specially for the category we're in, we have high velocity and high rotation.

It really needs that additional touch points, that in-store execution, to make sure your placement stay where they're supposed to be, where they're slotted and make sure your sales tags are up, your promotions are executed and then take advantage of those cold boxes, and those additional points of disruption within an outlet. So also expands our number of opportunities of sales reps out in the trade by thousands with 135 massive distributors. So, we're excited about that, we're far along on our journey and working on switching over key accounts in 2021.

Looking at marketing. We have a marketing slide here. We have great products; we know our position; we're gaining placements; we're driving that rotation with promotions; we do a variety of innovative marketing strategies, emotional online and emotional offline connections with 360 approaches driving the retail, it's working well, integrating and creating a community around the brand which is critical and that's what drives that brand equity.

Do you have a small slide, gets a little bit of the Celsius, what Celsius is about, to see if it plays on this platform one? (Audio-Video Presentation)

We're unstoppable, that's what Celsius is about, its peak performance, its live fit, live healthy, be yourself and maximize every opportunity. Our -- when you look at our -- what we're doing in retail and I talked about that 360 approach in marketing, it's that meaningful emotional and functional connections, it's driving in retail, leveraging industry events, targeted events, driving with digital, creating those digital connections with influencers, promotional and functional activation with our core products, so that's our -- that's really what our evolution is. That's how we're connecting with consumers. And we have a great product portfolio or innovative portfolio I touched on, capitalizing on today's health and wellness trends.

Our -- across on slide here. Our -- talking about our core line, which is our CELSIUS, drives about 85% of our overall revenue. That's our main focus. We do have some other lines, focused on the gyms and health clubs, we'll get into those. But our core line is CELSIUS, we have great innovative flavors, we're showing MULO growth, that's multi-unit outlet, I did talk about the SPINS data in the convenience channel, which is showing a 46% growth rate. The MULO data is just as strong and stronger at a 99% growth rate, that's as of July 12, 2020. So really seeing great movement, also we have On-the-Go Sticks, we have a Stevia Sweetened line as well.

What is CELSIUS? It is proven functional energy, you heard me say it multiple times, we have -- are thermogenic, we accelerate metabolism, burn fat, burn calories, provide healthy energy and it's all back with our proprietary brand, also no sugar, no aspartame, no high-fructose corn syrup, we're gluten-free, we're kosher, we're sugar-free, and we're Vegan certified. So, hitting on all of those healthy halos that are out there.

So how does Celsius work? How it works, it's with our MetaPlus blend, with packed with green tea with ECGC [ph], ginger, guarana seed which turns on thermogenesis within the body, which boosts one's metabolic rate. So, drinking CELSIUS prior to a fitness activity is proven to energize, accelerate metabolism, and burn body fat and calories, it's also backed by six clinical studies all published in peer-reviewed sports nutrition journals, they were done by Jeff Stout who is a world-renowned sports nutrition scientist at the University of Oklahoma.

So how does CELSIUS fit into this category? You're seeing functional energy; performance energy is another word that's being used in the industry as well. CELSIUS is the energy 2.0, we're pioneering its position as a fitness drink, masses are leaving the artificial flavors and sugars, and carbonation drinks, and others in the category it droves, you're seeing that, the next wave and the category under disruption is the energy category, people are looking for better function, better ingredients, better products, more functionality, Celsius delivers on that, we've great experience with the product, you get great energy without the spike, without the crash, without the jitters and great tasting as well. So, we're across between conventional energy, healthy energy and functional or a healthy-functional energy.

I talked about those other sub lines we have in adjacent categories, we have our CELSIUS HEAT line, which is the same core technology that's in CELSIUS with our MetaPlus blend, with enhanced caffeine and L-citrulline which is a vasodilator. And

then, this time last year we launched our CELSIUS BCAA Energy which is anytime recovery with energy and great tasting as well, we have BCAAs tart cherry, electrolytes and Vitamin D3 as well. Mainly both of these lines are main distributions today and are in the fitness channel.

During the acquisition with -- that we did last year with our master distributor in the Nordics, Func, drives about 10% share with Celsius in the energy category in Sweden, and has distribution in Finland and Norway. They have a protein snack portfolio called the FAST protein line. Based out of Finland, one of the top-selling fitness protein portfolios in Finland, we did acquire that. There's opportunities to expand this throughout Sweden; they have started to seeding it in Sweden, the other year, as well as Norway, and we're looking also bringing to North America in 2021, where we start seeding it as well. Great tasting, very innovative and on-trend of health and wellness trends.

I talked about international, talk about the European distribution, we do have a great 10% share in Sweden in a variety of the major co-ops and hypermarkets. In Finland we've been -- started in Finland in really around 2000 -- initial launch was in 2006, it's been slowly building, lots of opportunity there and we're getting really some traction with some of our new flavors. And then we also launched in Norway with 7-Eleven, launched in 2018, starting to gain some traction there, both these markets have been impacted by COVID as well, same as the U.S. in Q1 and Q2, and we feel there is going to be a recovery down the road.

Our Asia markets, we have distribution with a licensing royalty model in China with our partner Qifeng Foods. We do have a team based out of Hong Kong, where we are partnered with A.S. Watson, so on the 7-Eleven, Circle K, several other retailers, ParknShop as well. And then, late last year and into this year we launched into Malaysia in over 2,000 7-Eleven's and although these markets are being very affected by COVID, we do see long roads of opportunities there and other markets. Our focus is to grow profitably and we take a multi-faceted approach in entering new markets.

Looking at our growth trajectory. It's building upon our core, expanding and disrupting the markets. Our strategy and objectives, and the growth map, it's all about our teams, our teams are focused, disciplined, results-oriented and purpose-driven, thriving that brand and brand building, building that brand equity, increasing the portfolio breadth, channel expansion and optimizing those ACV gains, and optimizing supply chain, improving the margins, driving data analytics and operationally focused for efficiencies and transforming the organization with scale as volumes continue to grow. In addition, everyone in the organization is shareholders, everything is revolved around shareholder value, it's driving that brand position, making those strategic investments, innovation, sales optimization and performance, cost savings initiatives, and optimizing those run rates.

Looking at our financial performance. Our financial performance over the years as previously stated has been on a great CAGR, also we did \$75 million last year, we're up to \$58 million for the first six months of 2020. You can see the mix that you're

seeing here on the slide, on our quarterly growth rates in North America sales, we achieved over \$20 million of revenue in Q3. That was the first time the company achieved over \$20 million in revenue in North America. And we drove \$9.2 million in international sales, roughly topping \$30 million in sales for the first time and you can see the continuation of good momentum.

Looking at our gross profits. For the first six months of the year we're at 44.7% excluding out-bound freight, right around 52%, and we're stating that excluding out-bound freight because the closest comp to us really is Monster Energy, and their gross profits are right around 60%. They're doing \$1 billion a quarter, but they exclude out-bound freight, they include that as selling expense. So just as on comparable purposes, Celsius doing \$30 million a quarter, driving a 52% gross profit when comparing it to Monster. So that just shows you, solid gross profit margin, lots of opportunity to optimize that as we continue to grow and scale, especially freight reduction, optimizing warehouses, co-packers and the supply chain. So that will come with volume where we get additional accretion.

Looking at our six months financials. \$58.2 million in revenue, we're up 90%. North America for the first six months, samples over 40%, good gross profit margins. We had net income over \$2 million, adjusted EBITDA for the first six months of \$5.4 million, and cash on hand was about \$20 million, inventory about \$23 million. We are keeping inventories high right now, when you're looking at that. Last thing we want to do is run out of stock, very concerned about COVID, affecting supply chains, co-packers, we do have the capital, and the last thing we want to do, when you have flavors growing at 100% to 200% growth rates, new accounts coming onboard is to run out of stock with all our new partners. So, we are making cognizant effort to keep inventories at a higher level. Those investors behind the brand, we have Carl DeSantis is a major shareholder behind the brand, as well as Li Ka Shing, big believers in the company and have been shareholders for a long time.

Looking at our Board of Directors, we have a great -- looking at the management team, we got myself, John Fieldly. I'm the CEO of the company since January 3, 2012 part of the turnaround team here at Celsius and working hard ever since, have a broad experience of consumer products, also B2B, and I am a CPA as well. Edwin Negrón is our CFO. He has great experience as well. He joined the company in 2018. International experience as well, and a key member to the team. We also have a strong Board of Directors. Caroline Levy just joined our Board of Directors, great consumer industry stock analyst, more than 30 years and brings a long-term global perspective of the beverage industry to the company. We have Hal Kravitz as well, CPT background, over 30-year career with Coca-Cola. We have Tom Lynch, banking, insurance. We have Tony Lau, representative from Horizons Ventures; Bill Milmoie, representative from Carl De Santis Holding Company. Kevin Harrington, original Shark. We have Nick Castaldo, and marketing professor. So really great Board distribution with a lot of industry breadth.

Some key takeaways, looking at the key takeaways here, resounding consumer demand, we're trend forward, we're rapidly growing revenues and profits, expanding our portfolio, innovating our portfolio, capitalizing on today's health and

wellness trends, transforming the organization for scale, we're disciplined data-driven team. So, we are here, doing well, and we really appreciate, you joining us and listening in. And I'll turn it over for questions. If you have any questions, please feel free to use the Q&A session.

Questions And Answers

Q - Analyst

(Question And Answer)

Thank you for a great presentation today. Unfortunately, we're out of time to take any questions, but we appreciate you taking the time to present with us. This concludes today's event.

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